Reclamation Manual

Directives and Standards

Subject: Reporting Deferred Maintenance and Repairs (DM)

Purpose: The purpose of this Directives and Standards (D&S) is to establish standardized processes and procedures to identify, track, document, and report DM of assets owned, operated, and maintained by the Bureau of Reclamation (Reclamation), known as reserved works. The benefits of this D&S are to identify data sources and establish the reporting schedule and report format for consistent DM reporting across Reclamation.

Authority: The Reclamation Act of 1902 (ch. 1093, 32 Stat. 388); Federal Accounting Standards Advisory Board Statement of Federal Financial Accounting Standard (SFFAS) 6: Accounting for Property, Plant and Equipment (PP&E); SFFAS 25: Reclassification of Stewardship Responsibilities and Elimination of the Current Services Assessment; SFFAS 29: Heritage Asset and Stewardship Land; SFFAS 40: Definitional Changes Related to Deferred Maintenance and Repairs (Amends SFFAS 6); SFFAS 42: Deferred Maintenance and Repairs (Amends SFFAS 6, 14, 29, and 32); SFFAS 59: Accounting and Reporting of Government Land; Technical Release (TR) 9: Implementation Guide for SFFAS 29: Heritage Assets and Stewardship Land; TR 21: Omnibus Technical Release Amendments 2022: Conforming Amendments; Department of the Interior Policy on Deferred Maintenance, Current Replacement Value and Facility Condition Index in Life-Cycle Cost Management, 2008; Department Acquisition, Assistance, and Asset Policy (DOI AAAP-0031): Changes to Deferred Maintenance and Repairs Reporting by the Statement of Federal Financial Accounting Standards 42, 2015; Interior Financial Management Handbook (FMH) Chapter 15, Deferred Maintenance and Repairs Reporting

Approving Official: Director, Dam Safety and Infrastructure

Contact: Asset Management Office, 86-67200

1. Introduction.

A. Issuance of SFFAS 6, Accounting for Property, Plant, and Equipment, established the standards for disclosing DM associated with federally funded and constructed assets. Reclamation is required to disclose the amount of DM as part of the Department of the Interior consolidated Agency Financial Report (AFR), Required Supplemental Information (RSI). According to SFFAS 42, DM consists of maintenance and repairs that were not performed when they should have been or were scheduled to be and are put off or delayed for a future period.

B. Reclamation considers repairs as part of maintenance for the purposes of this D&S. To establish consistent terminology throughout Reclamation, references to DM shall

include repairs. Budget and staffing limitations, inclement weather, reservoir restrictions, or higher priority maintenance activities are some examples of reasons to defer maintenance. DM represents Reclamation's maintenance backlog and is tracked and reported within Capital Investment and Repair Needs (CIRN) in accordance with CMP 08-01, *Capital Investment and Repair Needs*.

C. Approximately one-third of Reclamation's constructed assets, referred to as reserved works, are operated and maintained by Reclamation personnel or by contract. The remaining two-thirds of Reclamation's constructed assets, referred to as transferred works,[1] are operated and maintained under a transfer agreement by operating entities responsible for funding, managing, and performing operation and maintenance (O&M) of Reclamation-owned facilities.

2. Applicability.

A. This D&S applies to regional, area, and field office staff responsible for management and oversight of any reserved works maintenance-related activity that was scheduled to be completed but was deferred, regardless of reason or funding source.

B. This D&S applies only to reserved works assets, including heritage assets that are designated as a National Historic Landmark (NHL), and reserved works assets that house collectible heritage assets.

C. Reclamation is constrained from comprehensively identifying or estimating DM on transferred works assets since O&M is planned and managed by operating entities; therefore, reporting of DM on transferred works assets does not apply under this D&S.

D. This D&S does not apply to Safety of Dams risk reduction actions which are managed through processes set forth in FAC 06-01, *Dam Safety Program*, and FAC 01-06, *Annual Reporting for Dam Safety and Related Operations*.

3. DM Reporting Sources.
DM will be reported and documented in CIRN from the following source materials, as appropriate:

A. **Regional Budget Review Committee (BRC) Notebooks.**
The extraordinary maintenance (XM) tables from the Regional BRC Notebooks will be used to determine new DM activities for reporting that are not funded or commenced as scheduled in the notebook formulation year.

B. **Recommendation Enterprise Management Information System (REMIS).**

[1] Reclamation retains title of all constructed assets pursuant to the Reclamation Act of 1902 Sec. 6.

Formerly known as the Dam Safety Information System (DSIS) and Power Review Information System (PRIS), REMIS tracks recommendations arising from facility reviews such as Associated Facility Review of Operation and Maintenance, Power Reviews of Operation and Maintenance, Periodic Facility Reviews, Comprehensive Reviews, and Annual Site Inspections.

(1) Reportable DM.
The following REMIS recommendations are eligible as DM and will be reported in CIRN:

(a) Reserved works

(b) Category 1 or 2 recommendations

(c) Status remains incomplete by the "Original Scheduled Completion Date"

(d) Would result in physical changes to the facility or equipment (including safety deficiencies)

(2) Non-Reportable DM.
The following REMIS recommendations are not eligible as DM and will not be reported in CIRN:

(a) Transferred works

(b) Category 3 recommendations made for less important matters believed to be sound and beneficial suggestions to improve or enhance the O&M of the project or facility (FAC 01-04, *Review of Operation and Maintenance Program Examination of Associated Facilities (Facilities Other Than High- and Significant-Hazard Potential Dams)*, and FAC 01-07, *Review/Examination Program for High and Significant Hazard Dams*)

(c) Operation-related recommendations (e.g., Standing Operating Procedures (SOP), Emergency Action Plans, administrative, investigations/examinations/trainings)

C. **Capital Asset and Resource Management Application (CARMA)/MAXIMO™.**
CARMA is Reclamation's deployment of the MAXIMO™ software, which is a comprehensive enterprise asset management database used for asset lifecycle and maintenance management.

(1) Reportable DM.

The following CARMA work orders are eligible as DM and will be reported in CIRN:

(a) Preventive maintenance (PM) work order identified in CARMA with a frequency of one year or greater, with a past due target finish date or Skipped PM (SKPM) status

(b) Corrective maintenance (CM) or modifications (MOD) work order types, with a past due target finish date

(2) Non-Reportable DM.
The following CARMA work orders are not eligible as DM and will not be reported in CIRN:

(a) Non-maintenance-related work orders such as physical examinations by personnel or writing/reviewing of SOP

(b) Work orders in-progress (i.e., they are no longer considered deferred)

(c) Work orders that have a status of work request (WR) since the activity has not yet been reviewed or approved

D. **Financial and Business Management System (FBMS).**
FBMS is an integrated suite of software applications designed to streamline financial and administrative functions across all Department bureaus. Real Property Maintenance Management (RPMM) work orders in released status, that are not associated with a CARMA work order and have not been started by the scheduled finish date, will be reported as DM.

E. **Manual Maintenance Management System.**
Facilities not using FBMS or CARMA for maintenance management systems are required to report DM using existing O&M files and documentation.

F. **Management Discretion.**
Management discretion can be used to add activities that have not been identified through DM Reporting Sources listed in Paragraphs 3.A. through 3.E. This discretion may be exercised by a regional director, area manager, or field manager.

G. Construction activities scheduled to start following design completion and subsequently postponed will be DM.

4. Resuming DM.
Per the RSI in the Department's AFR, once work has been resumed, the work activity will not be reported in CIRN as DM. If work meets the definition of XM, the activity will be

tracked in CIRN as such, and all other activities will be tracked until completion in the activity's source database (REMIS, CARMA, FBMS, etc.). Examples of resuming DM include but are not limited to:

A. For activities that include design in the scope, the activity is resumed when the design work begins.

B. If the activity includes only construction, it is considered initiated once the construction contract is awarded or force account work begins.

5. DM Reporting Schedule.

The reporting schedule follows the requirements set forth in FMH Chapter 15. Due dates may change based on the annual data call for RSI from the Department's Office of Financial Management (PFM). The reporting schedule is as follows:

A. **First Quarter.**
The Asset Management Office (AMO) will review DM data in CIRN, and if any errors are found, AMO will work with the region to update as needed. AMO will report to PFM with DM data as of the last workday in December.

B. **Second Quarter.**
AMO will review DM data in CIRN, and if any errors are found, AMO will work with the region to update as needed. AMO will report to PFM with DM data as of the last workday in March.

C. **Third Quarter.**
AMO will review DM data in CIRN, and if any errors are found, AMO will work with the region to update as needed. AMO will report DM data in CIRN to PFM as of the last workday in June.

D. **Fourth Quarter.**
The regional director will submit the regional fourth quarter DM report in concurrence with the annual Major Rehabilitation and Replacement (MR&R) certification to the Director, Dam Safety and Infrastructure, by September 15th. If the submission date falls on a weekend, the deadline will be extended to the next business day. The summarized fourth quarter DM report can be found in the CIRN Dashboard.

6. Definitions.

The following definitions will be used to document and report maintenance-related activities under this D&S.

A. **Deferred Maintenance and Repairs.**

Per SFFAS 42, maintenance and repairs that were not performed when they should have been or were scheduled to be and which are put off or delayed for a future period.

B. **Heritage Assets.**
PP&E that are protected under the National Historic Preservation Act because they have historical significance; are of cultural, educational, or scientific value; or have significant architectural or historical engineering or technological characteristics. Heritage assets are generally expected to be preserved indefinitely. There are two categories of heritage assets: non-collectible heritage assets and collectible heritage assets.

(1) Non-collectible heritage assets include, but are not limited to, asset classes such as buildings and structures, archeological sites, memorials, and monuments that are formally designated as an NHL, or are listed in the National Register of Historic Places (NRHP) or are eligible for listing in the NRHP.

(a) For the purposes of this D&S, only maintenance and repairs related to maintaining the historic status of reserved works assets that have been federally, congressionally, or departmentally designated as an NHL will be considered for reporting as Stewardship PP&E Heritage Asset DM. All other activities will be reported as general PP&E.

(2) Collectible heritage assets, also known as museum property or museum collections, include archaeological objects, artwork, archives, historical objects, ethnographic items, and natural history specimens.

(a) For the purposes of this D&S, only maintenance and repair activities related to the storage of museum property at reserved works assets will be considered for reporting as Stewardship PP&E Heritage Asset DM. All other activities will be reported as general PP&E.

C. **Maintenance and Repairs.**
Per SFFAS 42, activities directed toward keeping assets in an acceptable condition. These activities include preventive maintenance; replacement of parts, systems, or components; and other activities needed to preserve or maintain the asset. Maintenance and repairs, as distinguished from capital improvements, exclude activities directed toward expanding the capacity of an asset or otherwise upgrading it to serve needs different from, or significantly greater than, its current use.

D. **Replacement.**
The substitution or exchange of an existing facility, facility component, or item of equipment for another having the capacity to perform the same function. The scope

of a replacement activity can vary from the construction of a new facility to the purchase and installation of replacement parts.

E. **Reserved Works.**
Reclamation-owned facilities for which Reclamation manages and performs O&M, either through Reclamation personnel or through a maintenance contract.

F. **Transferred Works.**
Reclamation-owned facilities for which the responsibility to manage and perform O&M has been transferred by contract or agreement to a non-federal operating entity.

7. Review Period.
Certification by the originating office will not exceed four years.